MGT201 - Financial Management (Quiz 3)

Question # 4 of 10 (Start time: 01:32:43 PM, 30 June 2025)

Cost of capital includes:

Select the correct option

○	Cost of common shares
●	All of the given options
○	Cost of bonds
○	Cost of preferred shares

MGT201 - Financial Management (Quiz 3)

Question # 7 of 10 (Start time: 01:28:05 PM, 30 June 2025)

A company with _____ interest charges will pay _____ tax.

Select the correct option

◉	High, less
○	High, high
○	Less, less
○	Less, high

MGT201 - Financial Management (Quiz 3)

Question # 1 of 10 (Start time: 01:25:45 PM, 30 June 2025)

Cost of debt includes:

Select the correct option

◉	All of the given options
○	Cost of debentures
○	Cost of fixed income securities
○	Cost of bonds

MGT201 - Financial Management (Quiz 3)

Question # 6 of 10 (Start time: 01:33:37 PM, 30 June 2025)

A company with _____ interest charges will pay _____ tax.

Select the correct option

○	Less, less
○	Less, high
○	High, high
◉	High, less

MGT201 - Financial Management (Quiz 3)

Question # 10 of 10 (Start time: 01:29:27 PM, 30 June 2025)

Securities issued to offer specified rate of return are classified as:

Select the correct option

○	Debentures
○	Debt instruments
○	Interest-bearing instruments
●	All of the given options

MGT201 - Financial Management (Quiz 3)

Question # 9 of 10 (Start time: 01:40:06 PM, 30 June 2025)

_____ represents a percentage of debt in the total capital.

Select the correct option

○	Capital structure
◉	Financial leverage
○	None of the given options
○	Operating leverage

MGT201 - Financial Management (Quiz 3)

Question # 2 of 10 (Start time: 01:32:00 PM, 30 June 2025)

Which of the following is a type of bond?

Select the correct option

○	Coupon bond
○	Maturity bond
●	All of the given options
○	Zero coupon bond

MGT201 - Financial Management (Quiz 3)

Question # 5 of 10 (Start time: 01:27:17 PM, 30 June 2025)

_____ represents a percentage of debt in the total capital.

Select the correct option

○	Operating leverage
○	Financial leverage
◉	Capital structure
○	None of the given options

MGT201 - Financial Management (Quiz 3)

Question # 9 of 10 (Start time: 01:34:28 PM, 30 June 2025)

Securities issued to offer specified rate of return are classified as:

Select the correct option

◉	All of the given options
○	Interest-bearing instruments
○	Debt instruments
○	Debentures

MGT201 - Financial Management (Quiz 3)

Question # 3 of 10 (Start time: 01:26:25 PM, 30 June 2025)

Cost of capital includes:

Select the correct option

◉	All of the given options
○	Cost of bonds
○	Cost of preferred shares
○	Cost of common shares

MGT201 - Financial Management (Quiz 3)

Question # 5 of 10 (Start time: 01:33:13 PM, 30 June 2025)

Which of the following is the assumption of M&M theory regarding arbitrage?

Select the correct option

○	All of the given options
○	Return will change
○	Percentage of holding will change
◉	There will be cash saving

MGT201 - Financial Management (Quiz 3)

Question # 3 of 10 (Start time: 01:37:56 PM, 30 June 2025)

Which of the following is the feature of a perfect market?

Select the correct option

○	Large number of buyers and sellers
◉	All of the given options
○	No barriers of entry and exist
○	No product differentiation

MGT201 - Financial Management (Quiz 3)

Question # 2 of 10 (Start time: 01:37:15 PM, 30 June 2025)

Which of the following is the assumption of M&M theory regarding arbitrage?

Select the correct option

◉	All of the given options
○	Percentage of holding will change
○	There will be cash saving
○	Return will change

MGT201 - Financial Management (Quiz 3)

Question # 4 of 10 (Start time: 01:26:53 PM, 30 June 2025)

Which of the following is the assumption of M&M theory regarding arbitrage?

Select the correct option

◉	Percentage of holding will change
○	All of the given options
○	There will be cash saving
○	Return will change

MGT201 - Financial Management (Quiz 3)

Question # 6 of 10 (Start time: 01:39:08 PM, 30 June 2025)

Which of the following theory states that value of a firm is in-dependant of its capital structure.

Select the correct option

○	Traditional theory
○	All of the given options
◉	Net operating income theory
○	Bird in hand theory

MGT201 - Financial Management (Quiz 3)

Question # 7 of 10 (Start time: 01:39:24 PM, 30 June 2025)

Which of the following represents a change in capital structure?

Select the correct option

○	An increase in % of common shares in the capital structure
○	An decrease in % of debt in the capital structure
●	All of the given options
○	An increase in % of preferred stock in the capital structure

MGT201 - Financial Management (Quiz 3)

Question # 1 of 10 (Start time: 01:36:53 PM, 30 June 2025)

Arbitrage involves simultaneous buying and selling of assets to take advantage of _____ of the same assets.

Select the correct option

○	Similar prices
○	Equal prices
○	None of the given options
●	Different prices

Question # 7 of 10 (Start time: 01:33:55 PM, 30 June 2025)

Which of the following represents a change in capital structure?

Select the correct option

○	An decrease in % of debt in the capital structure
○	An increase in % of preferred stock in the capital structure
○	An increase in % of common shares in the capital structure
●	All of the given options

MGT201 - Financial Management (Quiz 3)

Question # 5 of 10 (Start time: 01:38:32 PM, 30 June 2025)

Which of the following is the formula to calculate tax shield benefit for a levered firm?

Select the correct option

○	Tax shield = tax saving* tax rate
○	Tax shield = tax saving / tax rate
○	Tax shield = tax saving + discount rate
◉	Tax shield = tax saving / discount rate

MGT201 - Financial Management (Quiz 3)

Question # 10 of 10 (Start time: 01:40:25 PM, 30 June 2025)

What will be YTM of a 10 years Rs. 1000 face value bond which is paying a coupon of Rs. 100 and bond is currently selling at Rs. 950?

Select the correct option

○	15%
◉	10.76%
○	12.25%
○	None of the given options

MGT201 - Financial Management (Quiz 3)

Question # 10 of 10 (Start time: 01:34:56 PM, 30 June 2025)

Which of the following statements is incorrect regarding traditional theory of capital structure?

Select the correct option

○	Firm value is dependent on capital structure
◉	It is a theory of irrelevance
○	There exits an optimal capital structure where value is maximized and cost is minimized
○	It is a theory of relevance

Question # 2 of 10 (Start time: 01:26:08 PM, 30 June 2025)

What will be cost of preferred shares if a company is paying Rs. 12 per share dividend and the shares are selling Rs. 95 per share in the market?

Select the correct option

- ○ 15%
- ○ None of the given options
- ◉ 12.63%
- ○ 7%

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MGT201 - Financial Management (Quiz 3)

Question # 4 of 10 (Start time: 01:38:11 PM, 30 June 2025)

What will be weighted average cost of capital if a company has 50% debt with a cost of 15% and 50% equity with a cost of 18%? (Tax rate = 35%)?

Select the correct option

- ○ 15%
- ○ 18%
- ◉ 13.875%
- ○ None of the given options

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MGT201 - Financial Management (Quiz 3)

Question # 9 of 10 (Start time: 01:28:46 PM, 30 June 2025)

Optimal capital structure is a mix of debt and equity where _____ is maximized and overall cost of capital is _____.

Select the correct option

◉	Value of a firm, maximized
○	Cost of debt, maximized
○	Value of a firm, minimized
○	Cost of equity, maximized

MGT201 - Financial Management (Quiz 3)

Question # 6 of 10 (Start time: 01:27:42 PM, 30 June 2025)

Which of the following statements is incorrect regarding traditional theory of capital structure?

Select the correct option

◉	It is a theory of irrelevance
○	It is a theory of relevance
○	There exits an optimal capital structure where value is maximized and cost is minimized
○	Firm value is dependent on capital structure

MGT201 - Financial Management (Quiz 3)

Question # 8 of 10 (Start time: 01:39:41 PM, 30 June 2025)

Value of a levered firm can be calculated through:

Select the correct option

◉	Value of levered firm = Value of un-levered firm + tax shield benefit
○	Value of levered firm = Value of un-levered firm - tax shield benefit
○	Value of levered firm = Value of un-levered firm* tax shield benefit
○	Value of levered firm = Value of un-levered firm / tax shield benefit

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Question # 8 of 10 (Start time: 01:28:24 PM, 30 June 2025)

What will be weighted average cost of capital if a company has 50% debt with a cost of 15% and 50% equity with a cost of 18%? (Tax rate = 35%)?

Select the correct option

○	18%
○	15%
○	None of the given options
◉	13.875%

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MGT201 - Financial Management (Quiz 3) Quiz

Question # 8 of 10 (Start time: 01:34:13 PM, 30 June 2025)

What will be weighted average cost of capital if a company has 50% debt with a cost of 15% and 50% equity with a cost of 18%? (Tax rate = 35%)?

Select the correct option

○	None of the given options
●	13.875%
○	18%
○	15%

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MGT201 - Financial Management (Quiz 3) Quiz Sta

Question # 1 of 10 (Start time: 01:31:41 PM, 30 June 2025)

What will be cost of preferred shares if a company is paying Rs. 12 per share dividend and the shares are selling Rs. 95 per share in the market?

Select the correct option

○	7%
●	12.63%
○	None of the given options
○	15%

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